

LOWERING IMPORT DEPENDENCY

Segment	Items
 Pharmaceuticals, biotech and medical devices	 APIs, bulk drugs, medical devices, plastics and resins
 Chemicals, petrochemicals, textiles, footwear	 Raw cotton, synthetic yarn, makeup formulations
 Capital goods, automotive and electric vehicles, advanced capital goods	 Auto components like clutch cables, pressure plates, dishwashers
 Energy	 Crude oil, LPG
 Construction equipment and infrastructure	 Engineering goods, PVC pipes
 Defence, aerospace	 Aeroplane parts, computers, laptops

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eign travel, reduce commute to limit petrol and diesel consumption, among other measures, to safeguard the country against vulnerabilities.

Indeed, India’s dependence, and consequent vulnerability, cuts across sectors. Some imports, such as crude oil, are structurally difficult to avoid. But others, including semiconductors, aircraft, computers, plastics, pharma APIs, edible oils, fertilisers, and arms highlight gaps in domestic capability, weak value addition and the inability to scale manufacturing.

In fact, dear reader, glance up from this article and take a quick look around you, you will easily identify goods of personal use that are either fully imported or partly made from imports. This includes pulses and pasta, fibre and ready-made goods, watch and smartphone components, laptops, printers, automobile parts, to name just a few.

Zoom out a little and recent headlines like India’s purchase of 114 Rafale jets from France for ₹3.25 lakh crore, solar components that helped the country become the second largest market in 2025, and a fertiliser subsidy bill that is estimated to double this fiscal to over ₹3 lakh crore, all show how deep the dependence on imports is.

What’s more troubling is India’s reliance on China as a major source of those imports. While a tenuous relationship plays out with the northern neighbour, the trade deficit with China more than doubled between FY20 and FY26 and it has become India’s top source of imports.

Evidence of that tenuous relationship were visible last year when China, the dominant exporter of critical minerals, stopped their exports. That triggered a shortage that hit India’s automotive and renewable energy sectors particularly hard.

Madhavi Arora, Chief Economist at Emkay Global Financial Services, says 40% of India’s capital goods are imported from China. “Even in electronic exports, where we are doing well, there is not much R&D and most of it is based on component assembly. Our net imports have risen,” she points out.

IMPORT PROFILE

Back of the envelope calculations show that India’s imports have risen by 7% or more annually in the past few years, barring FY24, when they contracted by 5.3%. A recent report by Exim Bank sums up the changing nature of India’s import requirements over the past decade. In